

LUXORA FINANCE LTD.

Money Services Business | Canada

TRANSACTION MONITORING POLICY

Transaction Monitoring & Reporting Policy

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1. PURPOSE AND SCOPE

This Transaction Monitoring Policy establishes the standards, procedures, and controls that Luxora Finance Ltd. applies to monitor client transactions on an ongoing basis for indicators of money laundering (ML), terrorist financing (TF), sanctions violations, and other financial crimes.

Effective transaction monitoring is a core element of Luxora's AML/ATF compliance program and supports Luxora's mandatory reporting obligations to FINTRAC under the Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA).

2. TRANSACTION MONITORING FRAMEWORK

2.1 Two-Layer Monitoring Approach

LAYER 1 — AUTOMATED MONITORING	LAYER 2 — MANUAL / HUMAN REVIEW
Rule-based alert engine screens 100% of transactions in real time. Alerts are generated when predefined thresholds or patterns are detected.	Compliance analysts review automated alerts, conduct contextual analysis, and escalate to the CCO where suspicious activity is identified.

3. AUTOMATED MONITORING RULES AND THRESHOLDS

3.1 Standard Transaction Alert Rules

Rule / Scenario	Alert Threshold	Rationale
Single cash receipt	CAD \$9,000 or more	Approaching LCTR threshold; potential structuring indicator
Cash receipt — 24-hr aggregate same client	CAD \$9,000 or more cumulative	Structuring detection across same day
International wire — single	CAD \$9,000 or more outbound	Approaching EFTR threshold
International wire — 24-hr aggregate	CAD \$9,000 cumulative same client	Structuring / layering detection
Virtual currency exchange — single	CAD \$900 or more	Approaching LVCTR threshold; VC inherent risk
VC exchange — 24-hr aggregate	CAD \$900 cumulative same client	Aggregation monitoring for VC
Rapid round-trip transactions	Any amount, same day	Funds leaving and returning within 24 hours
Transaction to/from FATF grey-list country	Any amount above CAD \$1,000	Elevated geographic risk
Transaction to/from FATF black-list / sanctioned country	Any amount	Mandatory escalation — potential sanctions breach

High-risk client transaction	Any amount above CAD \$2,500	Heightened scrutiny for high-risk relationships
Low-risk client unusual spike	>300% of prior 90-day average in single day	Deviation from expected transaction profile
Multiple beneficiaries same session	3 or more different beneficiaries in one day	Potential smurfing / layering
Round-number transactions	Amounts exactly at CAD \$10,000 / \$5,000 / \$1,000	Structuring indicator — exact threshold amounts
Transactions just below reporting threshold	CAD \$9,000–\$9,999 (cash or VC)	Classic structuring pattern
New client large first transaction	CAD \$5,000 or more on first transaction	Establishes pattern for monitoring
Cash FX conversion — no clear purpose	CAD \$5,000 or more in cash to foreign currency	Common ML layering technique
PEP/HIO client — any transaction	Any amount	All PEP/HIO transactions reviewed manually

3.2 Sanctions Screening Integration

All transactions are screened against the following lists in real time before processing:

- OSFI Consolidated Canadian Autonomous Sanctions List.
- UN Security Council Consolidated Sanctions List.
- US OFAC SDN List (Specially Designated Nationals).
- UK OFSI Consolidated List.
- EU Consolidated Sanctions List.

Any transaction where the originator, beneficiary, or intermediary matches a sanctions list is automatically blocked and escalated to the CCO. The transaction is not released until the CCO confirms the match is a false positive or authorizes the appropriate response (which may include a freeze and FINTRAC notification).

3.3 Rule Tuning and Calibration

Alert rules and thresholds are reviewed by the CCO at least every 6 months to:

- Reduce false positive rates without increasing the risk of missed suspicious activity.
- Incorporate new typologies identified by FINTRAC, FATF, or industry intelligence.
- Adjust thresholds based on changes to the client portfolio's risk profile.
- Reflect regulatory changes (e.g., new FINTRAC guidance or PCMLTFA amendments).

4. ALERT MANAGEMENT PROCESS

4.1 Alert Queue and Assignment

Automated alerts are routed to a centralized alert queue in the compliance management system. Alerts are prioritized by severity:

Alert Priority	Criteria and Review Timeline
CRITICAL (Immediate)	Sanctions matches; FATF Black List country transactions; any transaction halted by system. CCO review within 1 hour.
HIGH (Same Day)	Transactions above LCTR/LVCTR/EFTR thresholds; PEP/HIO transactions; structuring patterns. Review within 4 business hours.
MEDIUM (Next Business Day)	Transactions approaching thresholds; unusual spikes for medium-risk clients; multiple beneficiaries. Review within 1 business day.
LOW (Within 5 Days)	Minor deviations from expected patterns; first large transaction for new client; round-number transactions for low-risk clients. Review within 5 business days.

4.2 Alert Investigation Steps

1. Compliance analyst reviews the alert and the full transaction context.
2. Analyst reviews the client's profile: risk rating, KYC information, transaction history, prior alerts.
3. Analyst conducts open-source checks (Google, news databases, regulatory notices) for any adverse information.
4. Analyst records findings in the alert management system.

5. Analyst makes one of three dispositions:

- FALSE POSITIVE — No suspicious activity. Alert closed and documented with rationale.
- NEEDS MORE INFORMATION — Analyst contacts the client (where appropriate and where doing so will not constitute tipping off) to obtain clarification. Alert held open pending response.
- ESCALATE TO CCO — Suspicious activity identified or cannot be ruled out. Alert escalated within the required timeframe.

4.3 CCO Review and Decision

The CCO reviews all escalated alerts and makes the final determination:

CCO Decision	Action Required
No suspicious activity — close alert	Document rationale. Update client monitoring profile if patterns have changed.
Suspicious activity — file STR	Prepare and submit STR to FINTRAC within required timeframe (as soon as practicable, not to exceed 30 days from date suspicion arose). Document in compliance file.
Potential structuring — increase monitoring	Increase monitoring intensity for the client. Document. Consider whether STR is required even without confirmed structuring.
Sanctions concern	Freeze transaction. Notify legal counsel. Notify FINTRAC and Global Affairs Canada (for UN Act sanctions violations) as applicable. Do not release funds pending legal clearance.
Terminate relationship	Where the client poses an unacceptable, ongoing ML/TF risk, the CCO may direct termination. Consider STR before termination.

5. MANDATORY FINTRAC REPORTING

5.1 Suspicious Transaction Reports (STRs)

Element	Requirement
Trigger	Reasonable grounds to suspect the transaction is related to ML or TF.
Reporting threshold	No minimum amount — applies to all transactions, including attempted transactions.
Deadline	As soon as practicable after the suspicion arises. FINTRAC guidance: report within 30 days.
Report form	FINTRAC online STR form (F2), submitted through the FINTRAC reporting portal.
Confidentiality	Do not disclose to the subject or any unauthorized person that an STR has been or may be filed.
Attempted transactions	Attempted but uncompleted transactions must also be reported where reasonable grounds to suspect exist.

5.2 Large Cash Transaction Reports (LCTRs)

Element	Requirement
Trigger	Receipt of CAD \$10,000 or more in cash in a single transaction, or aggregated within 24 hours from the same client.
Deadline	Within 15 calendar days of the transaction.
Exemptions	Regulated financial institutions; public bodies; businesses with documented exemptions.
Report form	FINTRAC LCTR form submitted online.

5.3 Large Virtual Currency Transaction Reports (LVCTR)s

Element	Requirement
Trigger	Receipt of VC equivalent to CAD \$10,000 or more in a single transaction or 24-hr aggregate from same client.
Deadline	Within 5 business days of the transaction.
Additional requirement	Record the type of VC, transaction hash/ID, and wallet addresses involved.

5.4 Electronic Funds Transfer Reports (EFTRs)

Element	Requirement
Trigger	International EFT of CAD \$10,000 or more sent out of or received from outside Canada.
24-hr aggregate	Two or more EFTs totaling CAD \$10,000 or more from/to the same client within 24 hours.
Deadline	Within 5 business days of the transaction.
Required information	Complete originator and beneficiary details, financial institution information, amount in original currency and CAD.

6. TRAVEL RULE COMPLIANCE IN TRANSACTION MONITORING

For all outgoing EFTs and VC transfers of CAD \$1,000 or more, Luxora's transaction monitoring system must confirm that required originator and beneficiary information is present in the payment message before processing. Transactions missing required Travel Rule information are held and the Compliance team is notified.

For incoming transfers, Compliance analysts verify that originator information accompanies the transfer. Repeated receipt of transfers with missing originator information from the same counterparty triggers an STR review.

7. TRANSACTION LIMITS AND CONTROLS

Client Risk Level	Transaction Controls
LOW	No individual transaction limit below reporting thresholds. Standard monitoring. No pre-approval required.
MEDIUM	Single transaction above CAD \$15,000 requires Compliance team review before processing. Cumulative daily limit of CAD \$50,000 (reviewed by CCO to increase).
HIGH	Single transaction above CAD \$5,000 requires CCO pre-approval. Daily cumulative limit of CAD \$25,000 without CCO sign-off. All transactions reviewed manually.
PEP/HIO (any level)	All transactions above CAD \$1,000 require Compliance review. Quarterly individual review of all activity.
New client (first 30 days)	Limits of CAD \$10,000 per transaction and CAD \$25,000 per month, regardless of risk rating, pending stabilization of expected transaction profile.

8. PERIODIC ACTIVITY REVIEWS

In addition to transaction-level monitoring, Luxora conducts periodic reviews of client activity at the relationship level:

Client Risk Level	Review Frequency
HIGH	Quarterly — CCO reviews all transactions, alert history, and any new adverse information.
MEDIUM	Semi-annually — Compliance analyst reviews transaction patterns and updates client file.
LOW	Annually — Automated review of transaction patterns; manual review triggered if anomaly detected.

Periodic reviews are documented in the client file and include: summary of transactions in the period, alert history and dispositions, any changes to risk rating, and next review date.

9. INTERNAL SUSPICIOUS ACTIVITY REPORTING

9.1 Employee Obligation

Every Luxora employee who knows or suspects that a client or transaction may be related to ML or TF has an immediate obligation to file an internal Suspicious Activity Report (SAR) with the Compliance team. This obligation exists even if the employee is uncertain — the standard is 'knows or suspects,' not 'knows or proves.'

9.2 SAR Filing Process

6. Employee completes the internal SAR form (available on the compliance intranet/system) and submits it to the CCO within the same business day.
7. The SAR form requires: client name and account details; description of the suspicious transaction or behavior; the employee's reason for suspicion; any documents or evidence attached; the employee's name and date.
8. The CCO reviews the SAR within 24 hours and determines whether an STR to FINTRAC is required.
9. All SARs — including those where no STR was filed — are retained in the compliance file for 5 years.

9.3 Non-Retaliation

No employee will face any form of retaliation for filing a good-faith internal SAR. Employees who file false reports in bad faith, however, are subject to disciplinary action.

10. RECORDKEEPING

Record Type	Retention Period
STR reports and supporting documentation	5 years from date of filing
LCTR reports and transaction records	5 years from date of transaction
LVCTR reports and transaction records	5 years from date of transaction
EFTR reports and transaction records	5 years from date of transaction
Alert records and disposition notes	5 years from date of alert
Internal SAR forms (whether or not STR filed)	5 years from date of filing
Periodic activity review reports	5 years from date of review
Transaction monitoring rule change log	5 years from date of change

11. GOVERNANCE AND OVERSIGHT

Policy Owner	Chief Compliance Officer
Alert Review — Daily	Compliance Analysts
Alert Escalation	CCO (within defined SLAs)
Rule Calibration	CCO — semi-annually
Board Reporting	Quarterly summary of alerts, reports filed, and STRs
Policy Review	Annually or upon material regulatory change

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